

HOUSE No. 1097

The Commonwealth of Massachusetts

PRESENTED BY:

Antonio F. D. Cabral

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act relative to homeowners' insurance.

PETITION OF:

NAME:	DISTRICT/ADDRESS:	DATE ADDED:
<i>Antonio F. D. Cabral</i>	<i>13th Bristol</i>	<i>1/14/2025</i>
<i>Brian W. Murray</i>	<i>10th Worcester</i>	<i>2/4/2025</i>

HOUSE No. 1097

By Representative Cabral of New Bedford, a petition (accompanied by bill, House, No. 1097) of Antonio F. D. Cabral and Brian W. Murray relative to homeowners' insurance. Financial Services.

[SIMILAR MATTER FILED IN PREVIOUS SESSION
SEE HOUSE, NO. 949 OF 2023-2024.]

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act relative to homeowners' insurance.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. Chapter 175 of the General Laws, as appearing in the 2022 Official Edition,
2 is hereby amended by:

3 (a) inserting after section 99C the following section:

4 Section 99D. Insurers filing rates for approval by the commissioner shall submit to the
5 office of the attorney general all hurricane models, model software, methods, principles,
6 standards, data, inputs, manuals, validation studies and output ranges relevant to the insurer's
7 hurricane loss projection model or methodology that is intended to be used during a rate
8 proceeding on an insurer's rate filing in advance of the rate proceeding. All models, model
9 software, methods, principles, standards, data, inputs, manuals, validation studies and output

ranges shall be submitted to the office of the attorney general for review no later than 90 days prior to being admitted as evidence during a rate proceeding before the commissioner of insurance. If any insurer fails to submit any item or items required by the office of the attorney general pursuant to this subsection, the commissioner shall direct the insurer to remove the hurricane loss projection from its filing. A trade secret used in designing and constructing a hurricane loss model or methodology, provided by an insurer to the center under this subsection, is confidential and shall not be deemed a public record, as defined in clause 26 of section 7 of chapter 4. The office of the attorney general shall maintain custody of any records made confidential by this paragraph using a secure location or website. That portion of a rate proceeding on an insurer's rate filing at which a trade secret is discussed shall be deemed confidential and not open to disclosure under the open meetings law, but may be discussed at a closed meeting as provided for in section 21 of chapter 30A. Employees, volunteers and consultants of the office of the attorney general will be bound not to disclose information made confidential.; and

(b) inserting after section 99D the following section:

Section 99E. Any company that has offered an applicant a policy of homeowners multi-peril insurance, pursuant to section 99B of this chapter or otherwise, shall modify said offer, if requested to do so by the applicant, to reduce the amount of coverage offered upon a showing by the applicant that the amount of coverage originally offered exceeds by more than 10 per cent the greater of either the municipally assessed value of the subject property or its market value, as determined by an appraiser licensed pursuant to section 174 of chapter 112. The applicant may request and, if so requested, the offering company must offer a policy containing any coverage amount not lower than the municipally assessed value plus ten percent of such assessed value.

Applicants may appeal a failure to comply with this subsection to the office of the attorney general.

SECTION 2. Chapter 175A of the General Laws, as so appearing, is hereby amended by inserting after section 20, the following section:

Section 21. Homeowners Insurance Cost Formula. Insurers offering homeowners' insurance shall submit the methods, models and formulas used to determine homeowners' insurance rates for approval to the division, with a copy to the office of the attorney general, at least annually.

SECTION 3. Section 4 of chapter 175C, as so appearing, is hereby amended by striking out subsection (f) and inserting in place thereof the following section:

(f) The association shall be governed by a board of 18 directors, who shall serve without compensation: 10 directors shall be elected annually by the members of the association by cumulative voting; 2 directors of associations of insurance agents and brokers doing business in the commonwealth appointed by the commissioner; 4 directors from the general public appointed by the commissioner; and 2 directors from the general public appointed by the attorney general. The 6 directors appointed from the general public by the commissioner of insurance and the attorney general shall serve 3 year terms, staggered in a manner to ensure the annual expiration of the terms of 2 directors, and shall not serve as director for more than 3 consecutive terms. The 6 directors appointed from the general public may not have affiliations with the insurance industry and at least 2 shall have a primary residence in Bristol, Plymouth, Barnstable, Dukes or Nantucket counties. Cumulative voting by members shall be permitted at all such elections.”.

54 SECTION 4. Subsection (c) of section 5 of said chapter 175C, as so appearing, is hereby
55 further amended by striking out, in lines 108-113, the third sentence.

56 SECTION 5. Chapter 175C of the General Laws, as so appearing, is hereby further
57 amended by inserting after section 9, the following section:

58 Section 10. The association shall offer all eligible applicants a premium installment
59 payment option consisting of at least 10 payments.